

## Derivations: PGI-RC Correction

### Notation

| Symbol                    | Definition                                                                                                       |
|---------------------------|------------------------------------------------------------------------------------------------------------------|
| $\sigma_{\text{tot}}^2$   | Total variance in the outcome:<br>$\sigma^2(\tau_j) + \sigma^2(\delta_{ij})$ (from M0)                           |
| $\sigma^2(\tau_j)$        | Between-family variance from M0 (intercept only)                                                                 |
| $\sigma^2(\delta_{ij})$   | Within-family (residual) variance from M0                                                                        |
| $\sigma^2(\tau_j^*)$      | Between-family variance from M1 (conditioning on PGI)                                                            |
| $\sigma^2(\delta_{ij}^*)$ | Within-family variance from M1 (conditioning on PGI)                                                             |
| $\sigma^2(\tau_j')$       | Between-family variance from M2 (conditioning on PGI + ascribed)                                                 |
| $\sigma^2(\delta_{ij}')$  | Within-family variance from M2 (conditioning on PGI + ascribed)                                                  |
| $w$                       | $[\sigma^2(\delta_{ij}^*) - \sigma^2(\delta_{ij}')]/\sigma_{\text{tot}}^2$                                       |
| Sibcorr                   | $\sigma^2(\tau_j)/\sigma_{\text{tot}}^2$ — sibling correlation (from M0, unaffected by PGI noise)                |
| condcorr                  | $\sigma^2(\tau_j^*)/\sigma_{\text{tot}}^2$                                                                       |
| $\Delta_{\text{between}}$ | $[\sigma^2(\tau_j) - \sigma^2(\tau_j^*)]/\sigma_{\text{tot}}^2$ — observed between-family genetic share          |
| $\Delta_{\text{within}}$  | $[\sigma^2(\delta_{ij}) - \sigma^2(\delta_{ij}^*)]/\sigma_{\text{tot}}^2$ — observed within-family genetic share |
| $\rho_{\text{between}}$   | $\sqrt{h_{\text{between}}^2 / (\text{ICC} \times R_{\text{between}}^2)} \geq 1$                                  |
| $\rho_{\text{within}}$    | $\sqrt{h_{\text{within}}^2 / ((1 - \text{ICC}) \times R_{\text{within}}^2)} \geq 1$                              |
| $g^*$                     | True additive SNP factor; $\text{PGI} = (g^* + e)/\rho$ where $e$ is uncorrelated noise                          |

### Setup

The PGI is a noisy proxy for the true genetic factor:

$$\text{PGI} = \frac{g^* + e}{\rho}$$

where  $e$  is estimation error uncorrelated with  $g^*$  and with all other variables. M1 therefore absorbs less variance than it would with the true  $g^*$ . The observed genetic shares are:

$$\Delta_{\text{between}} = \frac{\sigma^2(\tau_j) - \sigma^2(\tau_j^*)}{\sigma_{\text{tot}}^2}, \quad \Delta_{\text{within}} = \frac{\sigma^2(\delta_{ij}) - \sigma^2(\delta_{ij}^*)}{\sigma_{\text{tot}}^2}$$

Conditioning on  $g^*$  instead of PGI absorbs  $\rho^2$  times more variance at each level:

$$\sigma^2(\tau_j^*)_{\text{true}} = \sigma^2(\tau_j) - \rho_{\text{between}}^2 \Delta_{\text{between}} \sigma_{\text{tot}}^2$$

$$\sigma^2(\delta_{ij}^*)_{\text{true}} = \sigma^2(\delta_{ij}) - \rho_{\text{within}}^2 \Delta_{\text{within}} \sigma_{\text{tot}}^2$$

For M2, we approximate that the ascribed-characteristics contribution is unaffected by PGI noise (reasonable when PGI and ascribed variables are weakly correlated):

$$\sigma^2(\delta_{ij}^*)_{\text{true}} - \sigma^2(\delta'_{ij})_{\text{true}} \approx \sigma^2(\delta_{ij}^*) - \sigma^2(\delta'_{ij}) = w \cdot \sigma_{\text{tot}}^2$$

### Corrected IOLib

Start from the definition (Eq. 4 in the analytical strategy):

$$\text{IOLib} = \frac{\sigma^2(\tau_j^*)}{\sigma_{\text{tot}}^2} + \frac{\sigma^2(\delta_{ij}^*) - \sigma^2(\delta'_{ij})}{\sigma_{\text{tot}}^2} = \text{condcorr} + w$$

Replace  $\sigma^2(\tau_j^*)$  with the corrected value. From the definition of  $\Delta_{\text{between}}$ :

$$\sigma^2(\tau_j^*) = \sigma^2(\tau_j) - \Delta_{\text{between}} \sigma_{\text{tot}}^2$$

so the true  $g^*$  would absorb  $\rho_{\text{between}}^2$  times as much between-family variance:

$$\sigma^2(\tau_j^*)_{\text{true}} = \sigma^2(\tau_j) - \rho_{\text{between}}^2 \Delta_{\text{between}} \sigma_{\text{tot}}^2$$

Dividing by  $\sigma_{\text{tot}}^2$ :

$$\frac{\sigma^2(\tau_j^*)_{\text{true}}}{\sigma_{\text{tot}}^2} = \text{Sibcorr} - \rho_{\text{between}}^2 \Delta_{\text{between}}$$

Using the M2 approximation ( $w$  is unchanged) and noting that  $\text{condcorr} = \text{Sibcorr} - \Delta_{\text{between}}$ :

$$\text{IOLib}_{\text{RC}} = \text{Sibcorr} - \rho_{\text{between}}^2 \Delta_{\text{between}} + w = \text{condcorr} + \Delta_{\text{between}} - \rho_{\text{between}}^2 \Delta_{\text{between}} + w$$

$$\boxed{\text{IOLib}_{\text{RC}} = \text{IOLib} - (\rho_{\text{between}}^2 - 1) \Delta_{\text{between}}}$$

Since  $\rho_{\text{between}} > 1$ , IOLib decreases: the noisy PGI left too much variance in  $\sigma^2(\tau_j^*)$ , over-attributing shared-family-environment variance to the liberal measure.

## Corrected IORad

Sibcorr =  $\sigma^2(\tau_j)/\sigma_{\text{tot}}^2$  comes from M0 (no predictors) and is unaffected by PGI noise. The bias enters through  $\sigma^2(\delta'_{ij})_{\text{true}}$  in M2. Using the M2 approximation:

$$\sigma^2(\delta'_{ij})_{\text{true}} = \sigma^2(\delta_{ij}^*)_{\text{true}} - [\sigma^2(\delta_{ij}^*) - \sigma^2(\delta'_{ij})]$$

The corrected within-family variance explained by natural talents and ascribed characteristics is:

$$\sigma^2(\delta_{ij}) - \sigma^2(\delta'_{ij})_{\text{true}} = \rho_{\text{within}}^2 \Delta_{\text{within}} \sigma_{\text{tot}}^2 + [\sigma^2(\delta_{ij}^*) - \sigma^2(\delta'_{ij})]$$

Dividing by  $\sigma_{\text{tot}}^2$  and adding Sibcorr:

$$\boxed{\text{IORad}_{\text{RC}} = \text{Sibcorr} + \rho_{\text{within}}^2 \Delta_{\text{within}} + w}$$

Since  $\rho_{\text{within}} > 1$ , IORad increases: the within-family genetic contribution was underestimated because the noisy PGI absorbed less within-family variance than the true  $g^*$  would.

## Verification

The corrected gap is  $\rho^2$  times each genetic share:

$$\text{IORad}_{\text{RC}} - \text{IOLib}_{\text{RC}} = \rho_{\text{between}}^2 \Delta_{\text{between}} + \rho_{\text{within}}^2 \Delta_{\text{within}}$$

## Scale correction for $\rho$

$h_{\text{between}}^2$  and  $h_{\text{within}}^2$  from the literature are fractions of **total** phenotypic variance.  $R_{\text{between}}^2$  (from the family-means regression) and  $R_{\text{within}}^2$  (from the within-family demeaned regression) are fractions of **between-** and **within-family** variance respectively. Dividing directly mixes scales. The ICC converts each  $R^2$  to the total-variance scale:

$$\rho_{\text{between}} = \sqrt{\frac{h_{\text{between}}^2}{\text{ICC} \times R_{\text{between}}^2}}, \quad \rho_{\text{within}} = \sqrt{\frac{h_{\text{within}}^2}{(1 - \text{ICC}) \times R_{\text{within}}^2}}$$

This is consistent with the additive decomposition of  $R_{\text{pop}}^2$ :

$$R_{\text{pop}}^2 = \text{ICC} \times R_{\text{between}}^2 + (1 - \text{ICC}) \times R_{\text{within}}^2$$

which differs from the additive  $h^2$  decomposition ( $h_{\text{pop}}^2 = h_{\text{between}}^2 + h_{\text{within}}^2$ ) precisely because  $R^2$  components use level-specific denominators while  $h^2$  components all use total variance as the denominator.